Oxford Cambridge and RSA

PREDICTED PAPER – for revision use

GCSE (9–1) Economics

J205/01 Introduction to Economics

Predicted Paper 1 – Hard Mark Scheme

Mark Scheme

This mark scheme follows the style of OCR GCSE Economics J205/01. Marks are allocated against the assessment objectives: AO1a (recall), AO1b (understanding), AO2 (application), AO3a (analysis) and AO3b (evaluation). Six-mark questions are marked using three levels.

How to use levels of response

a. To determine the level — start at the highest level and work down until you reach the level that matches the answer.

b. To determine the mark within the level:

- On the borderline of this level and the one below — at the bottom of the level
- Just enough achievement for this level — above the bottom of the level
- Meets the criteria with slight inconsistency — middle/above middle of the level
- Consistently meets the criteria for this level — at the top of the level

SECTION A — Multiple Choice

1 mark per question. No mark is awarded for contradictory or multiple answers.

Question	Key	AO	Quantitative skills
1	**A**	AO1a	
2	**B**	AO2	
3	**B**	AO2	Yes
4	**A**	AO2	
5	**A**	AO2	Yes
6	**D**	AO1b	
7	**C**	AO2	
8	**B**	AO1b	
9	**A**	AO2	Yes
10	**A**	AO2	
11	**D**	AO1b	
12	**C**	AO1b	
13	**B**	AO1b	
14	**C**	AO1b	
15	**C**	AO2	
16	**C**	AO2	
17	**C**	AO1a	
18	**C**	AO1b	
19	**B**	AO2	
20	**A**	AO1a	

SECTION B — Extended Response

Question 21 — The electric vehicle (EV) market

Question	Answer	Mark	Guidance
21 (a)	**Explain what is meant by a scarce resource.** A resource whose supply is limited relative to the wants for it, so that choices must be made about how it is used.	**2** *AO1 a*	Award 2 marks for a clear explanation linking limited supply to unlimited wants or to choices. Award 1 mark for a partial answer.
21 (b)	**Explain one difference between price competition and non-price competition.** Price competition involves firms attracting customers by charging lower prices, while non-price competition attracts customers through factors other than price, such as quality, branding, loyalty schemes or customer service.	**2** *AO1 b*	Award 2 marks for a clear difference with description of both types. Award 1 mark for a correct description of one type only.
21 (c)	**Using a diagram, analyse the impact on the market for electric vehicles of a government announcement to ban the sale of new petrol and diesel cars.** The announcement makes EVs a stronger substitute for conventional cars in the long run. Demand for EVs rises, shifting the demand curve to the right from D to D1. At the original price there is excess demand, pushing price up from P to P1 and equilibrium quantity up from Q to Q1. The size of the price rise depends on the PES of EVs; in the short run supply is relatively inelastic because factories take time to expand, so the price effect is larger than the quantity effect.	**6** *AO1 a/ AO2 / AO3 a*	Levels-based. Maximum 4 marks if no correct diagram. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but

Question	Answer	Mark	Guidance
			are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.
21 (d)(i)	**Explain how rising lithium prices could affect the cost of producing EVs.** Lithium is a key raw material in EV batteries. A rise in its price increases the cost of inputs. As a result, the total cost of making each EV rises, which could shift the supply curve for EVs to the left and put upward pressure on the market price.	**2** *AO2*	Award 2 marks for a clear explanation linking lithium prices to production costs and their effect on EV supply. Award 1 mark for identifying that costs rise without further development.
21 (d)(ii)	**Explain one reason why EV manufacturers have increased production despite higher input costs.** The market for EVs is growing quickly and government bans on petrol cars are expected. Firms increase production to capture market share before rivals do. Higher future demand is expected to cover the higher input costs in the long run.	**2** *AO2*	Award 2 marks for a developed reason linking to market share, expected growth, or competition. Award 1 mark for an undeveloped point.
21 (d)(iii)*	**Evaluate the importance of non-price competition for an established EV manufacturer facing new competitors.** For: non-price factors like range, charging speed and in-car technology are key reasons consumers choose EVs. An established firm with strong brand, dealer network and R&D can differentiate itself and justify higher prices, making demand more inelastic. Non-price competition avoids a costly price war.	**6** *AO2 / AO3 a/ AO3 b*	Levels-based. Reward a clearly weighted judgement. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with

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	Against: new Chinese entrants are often lower-cost producers. If price gaps become large, many consumers will switch regardless of brand. Non-price competition requires ongoing R&D spending, which is costly. If an established firm falls behind on technology, its non-price advantage disappears. Judgement: non-price competition is very important for established firms because it protects margins and brand loyalty, but it must be supported by competitive pricing and continuous investment in innovation.		developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Question 22 — A technology startup

Question	Answer	Mark	Guidance
22 (a)	**Explain what is meant by a startup.** A new business in its early stages of development, typically seeking to grow quickly and often built around a new idea or product.	**2** *AO1a*	Award 2 marks for a clear explanation. Award 1 mark for a partial definition.
22 (b)	**Calculate the profit or loss Cloudline will make on the contract.** Revenue = 1,000 × £90 = £90,000 Total cost = £35,000 + £8,000 + £12,000 + £6,000 = £61,000 Profit = £90,000 − £61,000 = £29,000	**2** *AO2*	Correct answer of £29,000 (with or without working) = 2 marks. Award 1 mark for correct revenue or correct total cost. OFR applies.
22 (c)	**Analyse, using a diagram, the effect on the labour market for software developers if Cloudline and similar firms decide to hire more developers.** Demand for software developers rises, shifting demand curve from D to D1. At the original wage W there is excess demand for developers. Wages are bid up from W to W1 and the equilibrium quantity of developers employed rises from Q to Q1. In the short run, labour supply is relatively inelastic (training takes time), so most of the adjustment comes through higher wages; over time more workers are attracted into the profession and supply becomes more elastic.	**6** *AO1a/ AO2 / AO3a*	Levels-based. Maximum 4 marks if no correct labour market diagram. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation

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			considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.
22 (d)(i)	**Explain one advantage to Cloudline of division of labour.** Priya focuses on writing code and Marco on sales and marketing. Each becomes more productive in their area, which raises output and reduces unit costs, helping Cloudline grow faster.	**2** *AO2*	Award 2 marks for a developed advantage linked to Cloudline. Award 1 mark for a theoretical benefit only.
22 (d)(ii)	**Draw and label a diagram showing the likely change in demand for Cloudline's software if larger rivals enter the market.** Demand curve shifts to the left from D to D1.	**2** *AO2*	Award 2 marks for both demand curves correctly drawn and labelled with a leftward shift. Award 1 mark for partial answer.
22 (d)(iii)*	**Evaluate the benefits for Cloudline of expanding the business by hiring additional developers.** For: more developers allow Cloudline to offer more services and respond faster to customers, helping it compete with larger firms. It could benefit from economies of scale (bulk licences, shared marketing) and gain market share. Staff with different skills can open up new revenue streams. Against: hiring is costly, especially when developer wages are rising. Fixed costs will rise before revenue does. Growing too fast may stretch Priya's and Marco's management capacity and harm quality. If demand does not rise as expected, the firm could face losses.	**6** *AO2/AO3a/AO3b*	Levels-based. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the

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	Judgement: expansion is beneficial if supported by strong expected demand, but Cloudline should grow in phases to manage risk, perhaps hiring one developer first and then a second once revenue is proven.		analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Question 23 — A regional airline

Question	Answer	Mark	Guidance
23 (a)	**Explain what is meant by price inelastic demand.** Demand is price inelastic when a percentage change in price leads to a smaller percentage change in quantity demanded.	**2** *AO1 b*	Award 2 marks for a clear explanation comparing the % change in quantity to the % change in price. Award 1 mark for a loose answer (e.g. 'not very responsive').
23 (b)	**Draw and label a diagram showing the difference between a price elastic demand curve and a price inelastic demand curve for SkyRoute's flights.** A relatively flat demand curve labelled 'elastic' and a relatively steep demand curve labelled 'inelastic'.	**2** *AO1 b*	Award 1 mark for a correctly drawn and labelled elastic curve. Award 1 mark for a correctly drawn and labelled inelastic curve.
23 (c)	**Using a diagram, analyse the impact on SkyRoute of an increase in demand for its flights following a successful marketing campaign.** Demand shifts right from D to D1. Along the upward-sloping supply curve, price rises from P to P1 and quantity from Q to Q1. SkyRoute's revenue rises because both price and quantity rise. The size of the price rise depends on the PES of seats — in the short run, aircraft capacity is fixed so PES is inelastic, so the price effect will be greater. Higher revenue could raise profit provided costs do not rise in line.	**6** *AO1 a/ AO2 / AO3 a*	Levels-based. Maximum 4 marks without a correct diagram. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but

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23 (d)(i)	**Calculate SkyRoute's new monthly interest payment after the interest rate has risen to 6%.** Annual interest = £4,000,000 × 6% = £240,000 Monthly interest = £240,000 ÷ 12 = £20,000	**2** *AO2*	Correct answer of £20,000 = 2 marks. Award 1 mark for correct annual interest only. OFR applies.
23 (d)(ii)	**Explain the opportunity cost to SkyRoute of cutting routes that are making low profits.** The opportunity cost is the next best alternative given up. Cutting the routes means giving up the revenue and any contribution to fixed costs those routes provide, plus any future growth on those routes.	**2** *AO2*	Award 2 marks for a clear application of opportunity cost to the scenario. Award 1 mark for a theoretical answer.
23 (d)(iii)*	**Evaluate the benefits to SkyRoute of specialising in business travel.** For: business travel demand is more price inelastic, so SkyRoute could charge higher fares and earn more revenue per passenger. Specialisation could help it build a stronger brand in that market, allow more targeted marketing, and make better use of peak weekday demand, raising load factors. Against: business travel demand is cyclical — it falls sharply in recessions and during events that reduce business travel. Specialising increases SkyRoute's exposure	**6** *AO2/ AO3a/ AO3b*	Levels-based. **Level 3 (5–6 marks)** Good knowledge and understanding. Good application of knowledge to the given scenario with reference to the context. Good analysis with developed links and chain of reasoning that addresses the question. For evaluation questions, a fully supported

Question	Answer	Mark	Guidance
	to this risk. Competitors may respond by improving their own business class offerings. Lower-income leisure customers, who are a stable source of volume, may be lost. Judgement: specialising in business travel could improve profit margins, but SkyRoute should keep some leisure capacity to manage risk and diversify revenue.		judgement is developed from weighing arguments. Where a diagram is required it is predominantly correct and linked to the analysis. **Level 2 (3–4 marks)** Reasonable knowledge and understanding. Limited to reasonable application with some context. Reasonable analysis, largely in the form of single effects that address the question but are not fully developed. Reasonable evaluation considering some arguments with a judgement that may not be fully supported. **Level 1 (1–2 marks)** Limited knowledge and understanding. Limited or no application. Limited analysis with single effects and weak links. Limited evaluation with unsupported statements. **0 marks** No work worthy of credit.

Assessment Objective Grid

The paper totals 80 marks across Section A (20 marks, one mark each) and Section B (60 marks). Each question in Section B is worth 20 marks. Total marks are distributed approximately as follows:

- AO1a (Knowledge / recall): approx. 12 marks
- AO1b (Understanding): approx. 16 marks
- AO2 (Application): approx. 28 marks
- AO3a (Analysis): approx. 15 marks
- AO3b (Evaluation): approx. 9 marks

Quantitative skills are tested in approximately 8 marks across the paper.

END OF MARK SCHEME